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RESEARCH FUNDING

Bell Labs 2.0? Silicon Valley bets on science

Billionaire-backed Episteme aims to free research from bureaucracy. History shows that's a tall task

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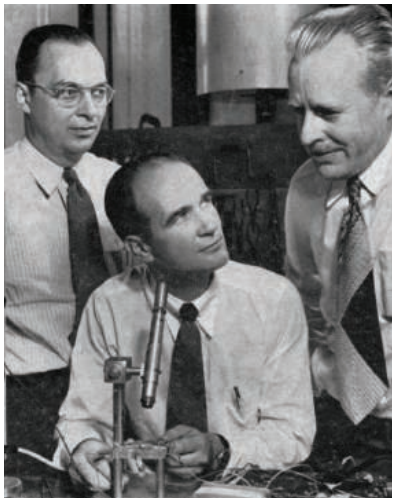
In November 2025, yet another billionaire-backed Silicon Valley company emerged. With a post on Substack, tech journalist Ashlee Vance announced the existence of Episteme, a company spun up with an undisclosed amount of money from Sam Altman, CEO of OpenAI, and Masayoshi Son, CEO of SoftBank. It doesn't have any products yet, or even a focused line of business—just a kitted-out lab space in San Francisco to support 15 scientists following their curiosity in fields from artificial intelligence to biotech, with no need to worry about grant proposals or journal articles.

CEO Louis Andre is confident the gamble will pay off. He thinks world-changing, profitable ideas can emerge from basic research, as long as scientists are freed up from hassles. "Profit should be a byproduct," says Andre, a startup veteran with a background in neuroscience and computer science. He says he founded Episteme after a series of conversations with Altman. "The main focus should be impact. When you do great science, commercialization opportunities will emerge."

Winning grants from public funders has long been a slog through slow, risk-averse bureaucracies. It's easy to see the appeal of Episteme, which is modeled on the big-money corporate labs of yore, like Bell Laboratories and Xerox PARC. Andre says he is picking people for their "theory of change" rather than their science. "If an idea fails, that's OK, and you should give space for a researcher to pivot," he says. Episteme will determine intellectual property rights and ownership of spun-out startups case by case.

It all sounds utopian. But the recent history of deep-pocketed benefactors trying to disrupt research funding with an insistence on startup-like speed is checkered. For example, at the height of the COVID-19 pandemic, economist Tyler Cowen and Stripe co-founder Patrick Collison introduced a $50 million "fast grants" program to award rapid-turnaround grants in the hopes of stimulating pandemic science. Some resulted in publications, but none yielded lifesaving insights such as dexamethasone or messenger RNA vaccines. And in 2024, a flock of billionaires spent $500 million to found Boston-based Arena BioWorks, hiring big-deal scientists at seven-figure salaries to develop drugs. It folded late last year.

One reason private funding often hits speedbumps, says Pae Wu, chief technology officer of the biotech incubator IndieBio, is that the curiosity-driven basic research it looks to profit from is slow to pay off. "There are activities that are not profit seeking which are societally important, strategically important, and do not drive maximal shareholder value. And those are the things that are the domain of the government," Wu says.



One model for Episteme is Bell Labs, where the transistor was invented in the late 1940s.

That's not to say researchers in both worlds can't work at crossing the so-called "valley of death": plucking good ideas from basic research and developing them into commercial products. That's one reason why Wu says IndieBio maintains a fully equipped wet lab in its offices—to prove out promising ideas.

In fact, studies show public support of basic research eventually yields bigger economic gains than private efforts do—measured not just in gross domestic product, but economic productivity, too. Back in 2013, a team of economists from Stanford University and the London School of Economics found that public and private R&D funding combined yielded productivity returns of about 55%, whereas private money alone led to just a 21% increase. And a 2024 study by Andrew Fieldhouse, an economist at Texas A&M University, found an even bigger effect, putting overall productivity returns from public, nondefense R&D funding at a whopping 140% to 210%.

But those gains take years or decades to show up. Some 80% of the world's most important drugs originated from publicly funded science, but with an average of 32 years between discovery and drug, according to a 2018 study. And no one can ever tell which grant will result in a discovery, or which discovery is going to break big.

The *Mad Men*–tinged nostalgia for corporate labs as bubbling cauldrons of innovation may also be somewhat misplaced. It's true that in the 1950s, more than 80% of companies had labs, a figure that has declined ever since. However, whereas giants such as Bell Labs did transformational basic research—stuff that led to the transistor, the laser—most corporate labs de-emphasized the R in R&D in favor of the D, says Ashish Arora, an economist at Duke University. "They were essentially what you might think of as followers," he says. "They were using scientific research—they were not producing it."

So although nobody particularly cares for the way research gets funded in the United States today, nobody wants to burn down the system, either. "If [Episteme] can plug a hole in the current federal funding system and a hole in current private funding, that would be a wonderful thing for the U.S. economy," Fieldhouse says.

That's a lot of weight on Episteme's meager crew of 15 scientists. Andre says he plans to expand the operation to other labs in other cities—presumably contingent on its success and the willingness of backers like Altman to keep opening their wallets. "It's an ambitious mission," Andre says. "But I'm always appreciative of people trying to experiment with novel models, because iterating and doing is how we learn."

And just maybe earn a profit. □

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